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Executive - Report



Innovation Process

An innovative framework for delivering Products & Services In ADP Dealer Services - Nordic

Executive MBA project – Business Institute – Aalborg – May, 2013

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Introduction

This report will focus on building and implement a product and service innovation framework focusing on the Nordic regional business unit of ADP Dealer Services International sub-division.

The US based company, ADP has two major business areas separated into two primary business unites:

- ES: Employer Services, that delivers Payroll services and HR Management as a service to its clients.
- DS: Dealer Services, that delivers Dealer Managements Systems to Automotive Dealers.

The ES and DS divisions are handling the US national business, where the international sub-divisions ESI and DSI are taking care of the International business.

ADP Dealer Services International HQ resides in Hungerford, UK, where the Nordic HQ resides in Vantaa, FI.

The overall purpose of this executive report is to build a framework¹ to prescribe which actions ADP need to take to be able to provide the needed products and services to its clients in a near and long-term future.

The study will describe how to analyze the process of product and services selection, where client needs are identified and discussed. Included in the study, will be analyses of future and current states to build a strategy based on identified gaps to facilitate the journey. Parts of the discussion will be looking at HR processes to ensure the required personal capabilities are available to the business at a given time. This also includes requirements to the business to identify their needs.

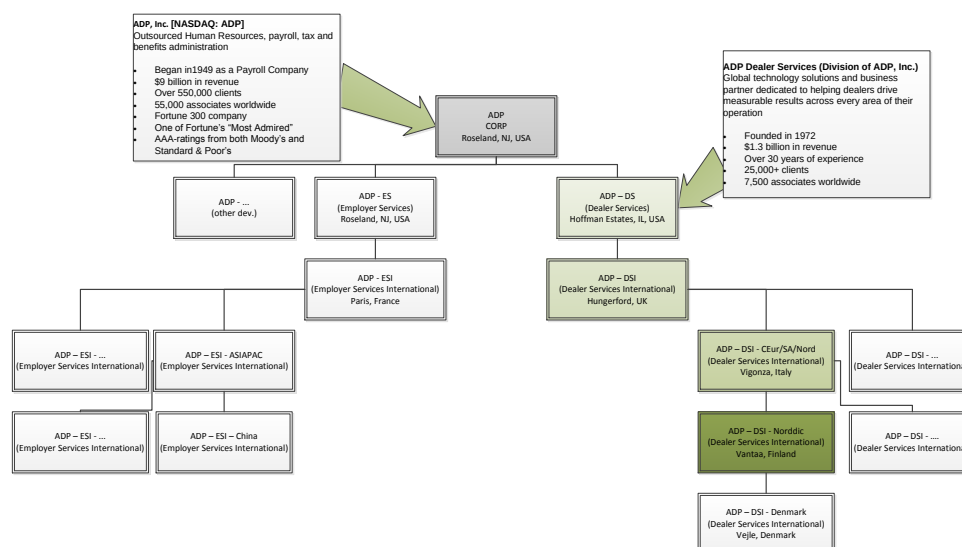


Figure 1 - ADP Global Org.

¹ See the Documentation Report and section 3.5 to understand the framework

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1 Purpose of the report

The overall purpose of this report is to present and implement a framework to suggest which actions ADP-DSI-Nordic should initiate to fulfill the Automotive Dealer marked need for products and services by 2017 and 2025. Therefore, the goal of the report is via analysis and comparison of the current state and the desired strategy, to suggest how to handle identified gaps.

The overall purpose of this executive report is:
To build and implement a framework to
recommend which actions ADP need to take
to be able to provide the needed services to
its clients in a near and long-term future

ADP has identified an immediate and future need to maintain and expand its market share in the Nordic region.

There is a real need to build a process to identify marked need, and address the identified needs in a way that will benefit the clients of ADP by expanding and developing their business where at the same time benefitting the business of ADP.

2 Recommendation - A framework for building product innovation

How to implement a Marked Oriented View based Innovation Process at ADP by utilizing an innovation framework based on a combination of Outcome Driven Innovation®, Best Practice MOV marketing concepts and Scenarios

2.1 Establish Management buy-in

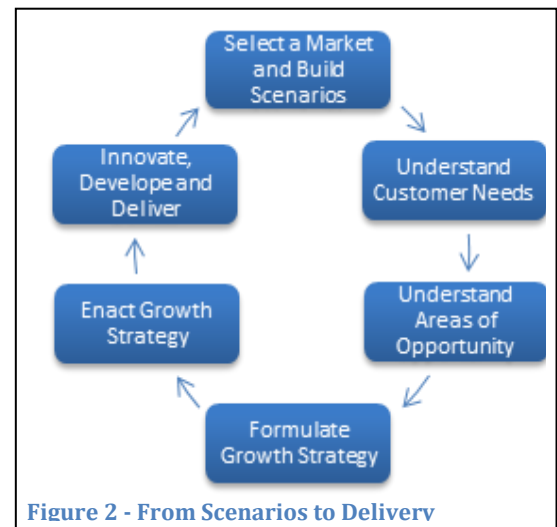
Established an Executive Management acceptance of the new innovative process

- Get buy-in for the Innovation Process illustrated in Figure 2 from the General Manager of ADP-DSI-Nordic.
- Present program on next Executive board meeting.
- Demonstrate expected financial gain, by going MOV based on Outcome Driven Innovation. The success rate of traditional innovation processes are between 10 and 30%, where ODI has a documented success rate of 70 to 90%.
- Demonstrate the need of an Innovation Office referring into the GM, closely interacting with the Product Marketing organization.
- Explain the need of Product Marketing to assume a key role, and the upstream cooperation between the business e.g. sales & marketing and downstream into R&D.
- Show Execs where strategic challenges can be addressed by ODI.
- Ensure strategically alignment of the Innovation Process with the Regional, Divisional and Corporate strategy.
- Ensure integration between the innovation processes of ADP entities to eliminate redundant processes, findings and development.

2.2 Identify Stakeholders

Identify and assign stakeholders to own the individual processes

- Work with Product Marketing to accept the key-role of the Innovation Process, working closely with the Innovation Office.
- Work with Marketing to ensure they recognize their role in the Innovation Process of applying input they have for own need to the process and ability to receive process output.
- Work with Sales to ensure they understand their role of providing the appropriate input to the Innovation Process.
- Work with Finance to ensure they understand their role in the Innovation Process, and to develop a model for measuring the outcome and value of the Innovation Process.
- Work with the Support and Aftersales Organization to ensure they understand their role in the Innovation Process of providing valuable input.
- Work with R&D to ensure they understand the need of receiving process output from Product Marketing, to innovate and develop product and services.
- Work with HR to ensure they understand the competence and capabilities need.



2.3 Communicate

Work with the business to Communicate and develop organizational ownership of the innovative process. The whole organization, need to understand and adapt the Innovation Process.

- Town hall meetings, mid-level management and department meetings.
- Newsletters.

2.4 Develop

Develop needed organizational competences and individual skills

While identifying customer's needs, is the fundament of product innovation, being able to transforming the needs into useful products and services that can ***help the customers getting the jobs done, is where the true value of ADP-DSI-Nordic's Core Competences are in play.***

- Start working with HR to develop needed competences and capabilities,

depending on the individual's role in the Innovation Process.

- The needed Core and Focus competences will need to be defined and handled.
- The potential competences and capabilities gap must be controlled, by leveraging the HR organization.
- Build a strong competence level in the Innovation Office and Product Marketing, to be able to own and drive the process.
- The needed innovative competences must be developed and extended throughout all stakeholders, with a focus on Product Marketing.
- Innovation must be a valued Core Competence of ADP-DSI-Nordic.

2.5 Test

Build an internal test scenario addressing a real need, where the process is being executed internal before being utilized in a real-world scenario.

This test will help identifying the maturity level the organization has achieved during the step 2.1 to 2.4, and address potential gaps by applying a Plan-Do-Check-Act approach.

- Formulate the Strategy. Who – How – What – Where
- Capture Marketed Input. Prepare – Build – Explore & Quantitate
- Identify Opportunities. Analyze & Identify
- Segment the market. Discover hidden Markets

3 The background of the Innovative Process

3.1 Executive Management recognition²

This section describes the activities needed to establish an Executive Management acceptance of the new innovative process.

3.1.1 Get GM buy-in

Get buy-in for the Innovation Process illustrated in Figure 2 from the General Manager of ADP-DSI-Nordic, by presenting the program on a one-to-one meeting.

As the Executive Management are held ultimately responsible for the financial results, potential growth and funding, buy-in at this organizational level are crucial.

The GM is highly motivated, as he initiated this project by expressing the needs of being able to deploy and deliver the appropriate products and services to satisfy clients need in the Nordic region.

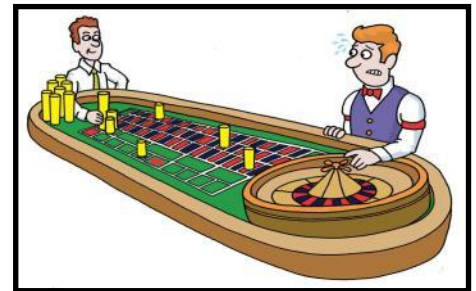


Figure 3 - Companies Can Make Big Bets With Confidence

3.1.2 Present program on next Exec board meeting.

The GM will introduce and express his support to implementing and utilizing the Innovation Program, as to achieve successful implementation and organizational acceptance, Executive Management need to adopt and agree with the program to communicate to their management teams.

The Exec team must understand that implementing the Innovation Process is a shift in the mindset of Product Marketing. The driver is “What customers need” not “What customers want” and not “What ADP can and want”

A new way of communicating with the market are needed. We must communicate “Client Needs”.

3.1.3 Show expected financial outcome

The organization must understand the value of going to a Market Orientated View, based on the Innovation Process based on Outcome Driven Innovation does have a documented innovation success of 70-90% versus traditional innovation processes success of 10-30%. The segmentation process will revile opportunities in mature markets.

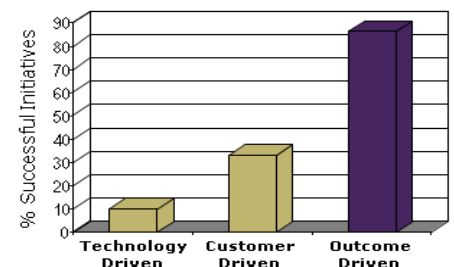


Figure 4 – Traditional vs. ODI

² Reference to the Documentation Report Summary Section:

3.6/4a - Lær en ny måde at kommunikere med kunden. Tal behov – ikke ønsker

4.6/6 - Konkrete udfordringer i ADP-DSI-Nordic - Eksempler på hvor segmentering kan afhjælpe strategiske udfordringer i ADP

4.6/2b - Identificer udækkede behov i et eller modent marked

4.6/1 - Marked segmentering, Valg vs. fravalg

4.6/4 - Foretage gruppeanalyse på de udvalgte kriterier

5.10/3 - Kernekompetencen og ROA maksimerings døds spiralen

5.10/3a - Outsourcing vs. Insourcing

6.5/3a - Nedbrydning af siloerne

6.5/4a - Udtrykker behov for tiltag der håndterer segmenter med mættede og umættede markeder

6.5/5 - Strategiske udfordringer

6.5/1+2+6 - Missionen, Vision & Value old/current/future

3.6/10 - Ejerskab af processen i organisationen – 3.1

3.1.4 Explain project ownership

The Executive Management Team must assume the high-level ownership and ensure proper adoption within the organization.

The Innovation Process ownership must reside as a role/office referring into the GM, to ensure strategically alignment. The process owner must work directly with all Executive Management representatives to ensure organizational alignment.

Product Marketing must assume a key role in the Innovation Process, and facilitate upstream cooperation between the business e.g. sales & marketing and downstream into R&D.

The primary focus of the marketing organization is to focus of HR needs to have a strong involvement to ensure proper Core Competences are available in organization to execute the process.

3.1.5 Addressing strategically challenges

The following 4 statements/solutions demonstrate to the Execs where strategic challenges can be addressed by ODI. It is important to understand how marked segmentation based on customers' needs as selection and segmentations criteria's are presenting valuable opportunities.

The process of building opportunity trees help visualizing marked segments based on business value and show where client's needs are the largest.

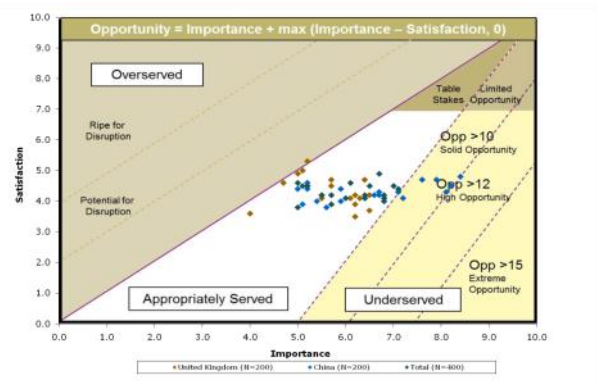


Figure 5 - Opportunity map

#	Challenges	Solutions based on Outcome based Segmentation
1	High penetration (44% for total Nordic)	Identify opportunities in a mature marked.
2	Low profit products & markets continue to drain resources	Identify non profitable market segments. Identify marked segments qualifying for Disruptive Innovation.
3	Geographic scope is wide but not deep – OEM commitments	Identify marked segments qualifying for Disruptive Innovation.
4	Layered apps have a runway for success – execution is key	Identify markets with potential high growth rate.

Figure 6 - Strat. Challenges & Solutions

3.1.6 Insourcing vs. Outsourcing

To ensure that the needed competences and capabilities are available within the organization – the discussion around insourcing vs. outsourcing are very important. It can seem to be beneficial to place certain R&D jobs at a trusted 3rd party to compensate for lacking internal capabilities. Extensively going in that direction can result in losing the needed Core Competences to drive Innovation.

A great example is the story “Core Competence and the ROA-Maximizing Death Spiral”

3.1.7 **Strategically alignment**

As ADP is moving to a One ADP – One Mission - One Mission strategy, strategically alignment of the innovation strategy must be maintained. The Executive Management team must ensure strategically alignment of the Innovation Process with the Regional, Divisional and Corporate strategy.

3.1.8 **Global integration and alignment**

Ensure integration between the innovation processes of ADP entities to eliminate redundant innovation processes, findings and product & services development.

The strong separation between the entities of ADP are slowly being reduced and over time expected to disappear.

At a divisional level, strategically alignment is being emphasized into the organization at all levels. This will allow for utilizing resource, capability and competence sharing between entities at all levels, tearing down the silos.

3.2 Identify and assign stakeholders to own the individual processes³

Show how to integrate the Innovation Process into the existing organization.

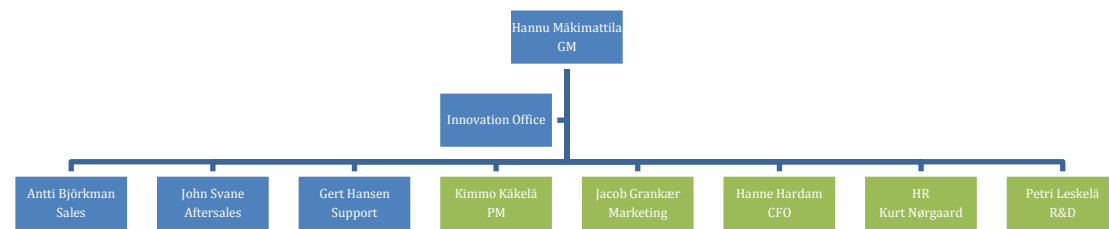


Figure 7 - Nordic Management team. Blue: Ops. Green: R&D and Staff.

3.2.1 Innovation Office

The Innovation Office which consists of one or more people from the organization, matrixing or temporary moved into the role of Innovation. The Office Head will hold a permanent role, where the team will consist of resources from within the organization, driving the Innovation Process. This is where the analyses are prepared, based on the strategically direction. As the Innovation Office integrate into all parts of the organization, a Q&A function will naturally evolve with the total organizational overview.

3.2.2 Product Marketing

Product Marketing will assume a key-role in the process, as they already are driving a large part of the traditional innovation processes.

PM must adapt to the new Innovation Process, and learn the needed language of “Identifying clients need”

The PM organization will help building, processing and validating job maps identified during the qualitative interviews.

3.2.3 Marketing

Marketing has to recognize their role in the Innovation Process of applying input they have for own need to the process and ability to receive process output.

Marketing will provide valuable input to building the scenarios needed to execute the Innovation Process.

Marketing will work with Sales and the Innovation Office, to help classifying and profiling the existing marked.

³ Reference to the Documentation Report Summary Section:

3.6/1+2 - Analysens formål og mål, Her sikres at man er skarp på hvad der ønskes som resultat af analysen & Definition af spørgsmål, hypoteser, scenarioer mv.

3.6/3a - Kigger analysen som udgangspunkt mod nye/eksisterende jobs/produkter

3.6/6 - Opbygning af job map - Opdel det fokale job i proces relaterede segmenter

3.6/7 - Identificer de enkelte Outcome statements - Via det explorative interview, identificeres, formuleres og bekræftes Outcomes

3.6/8 - Opbygning af et scenarie - Der udarbejdes et set scenarier, der danner rammen for interviewet

3.6/9 -Udarbejdelse af spørgeskemaet - Der opbygges et spørgeskema & Besvarelser analyseres, og der opbygges Opportunity landscapes

6.5/4a - Udtrykker behov for tiltag der håndterer segmenter med mættede og umættede markeder

3.2.4 Sales

Sales must understand their role of providing the appropriate input to the Innovation Process. Building the needed supplemental questions, and providing input to validating Outcome statements is a crucial requirement. Understand the importance of capturing needs, while having clients meeting will allow for valuable input to the Innovation Office for future Innovation Processes.

The sales organization holds today a central role in setting the strategically direction. Having sales providing input and direction to the Innovation Process initiation phase will help building reliable scenarios.

3.2.5 Finance

Finance must understand how the change into a more MOV with the Innovation Process changes their role. One crucial task will be to develop a model for measuring the outcome and value of the Innovation Process.

3.2.6 Support and Aftersales

The Support and Aftersales Organization must understand their role in the Innovation Process of providing valuable input.

Understand the importance of capturing needs, while having clients meeting will allow for valuable input to the Innovation Office for future Innovation Processes.

Aftersales should during projects implementations, capture and evaluate the project with a “Client Need” mindset, to identify gaps.

Gaps will be communicated to at a minimum the Innovation Office.

3.2.7 R&D

R&D to understand their need of receiving process output from Product Marketing, to innovate and develop product and services.

At the same time, their integration into the segmentation process are very valuable, as we need to identify if identified outcomes and needs can be addressed by existing technologies.

R&D must also work closely with the Innovation Office and HR to ensure identified focus competences and current & future capability needs are addressed.

3.3 Communicate to the business⁴

Work with the business to Communicate and develop organizational ownership of the innovative process. The whole organization, need to understand and adapt the Innovation Process.

3.3.1 Utilize Town Hall meetings, mid-level management and department meetings.

The Innovation Office will facilitate mid-level management and department meeting where the Innovation Process is demonstrated.

The common language of identifying Clients Needs are communicated and enlightened. The importance of the MOV is described.

Everyone needs to understand the difference between “Needs” and “Wants” Storytelling is one of the better tools, and a story such as “What Motorola did” or the “The Bosch saw” etc.

People receive storytelling, and can better relate their day-to-day life to business goals by a good story.

3.3.2 Utilize Newsletters.

Monthly newsletters should include success stories from the Innovation Process, and the Office should be promoted to have innovative associates to acquire to be part of the temporary innovation team.



3.3.3 SharePoint

Maintain an updated SharePoint site with current and past Innovation Processes to ensure organizational availability.

This will help reducing redundant processes, and provide identified outcomes to the whole organization.

⁴ Reference to the Documentation Report Summary Section:

3.6/4a - Lær en ny måde at kommunikere med kunden. Tal behov – ikke ønsker

4.6/7 - Et eksempel: Hvad gjorde Motorola

3.4 Develop needed organizational competences and individual skills⁵

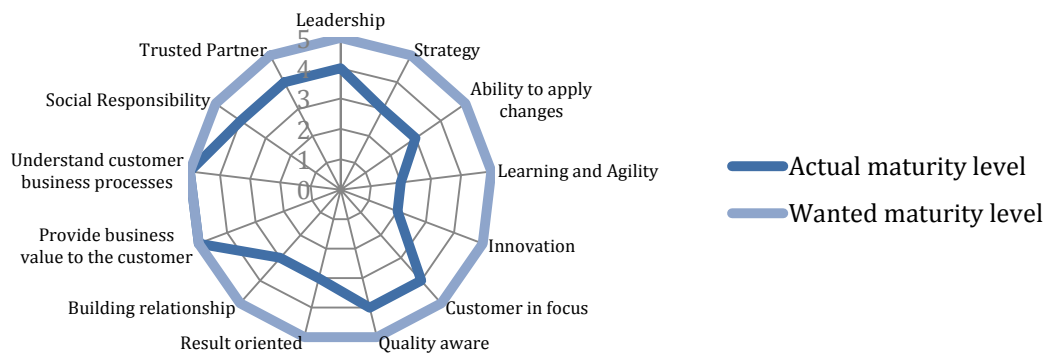


Figure 8 - ADP Identified Core Competences by VRIO analyses

3.4.1 HR involvement

Start working with HR to deploy training targeted needs, depending on the individual's role in the Innovation Process.

3.4.2 Competences

The needed Core and Focus competences will need to be defined and handled.

Competence needs are decided by the Innovation Office, and the Management Team.

The identified stakeholders must learn the new innovative language, and understand the meaning of need versus want.

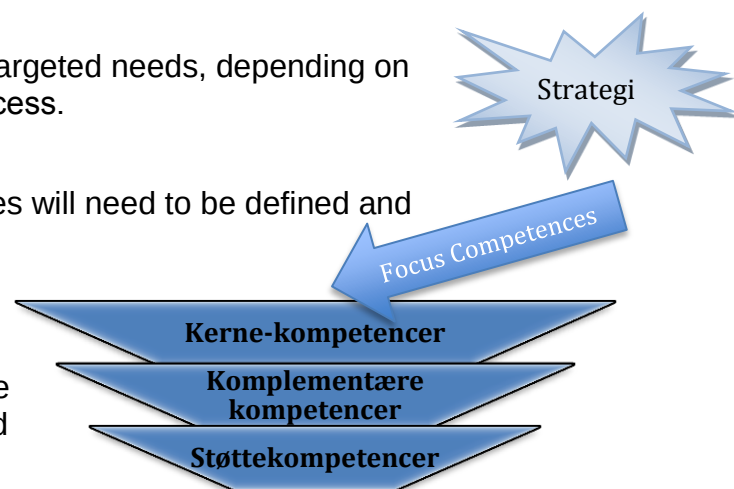


Figure 9 - Competences

3.4.3 Build and expand innovation competences

HR must help driving a strong Innovation competence level into the Product Marketing organization.

The Innovation Office must have and develop an extensive innovative mindset to be able to own and drive the process.

Temporary assigned resources to the Innovation Office must have received training prior to joining the team.

3.4.4 Evolve stakeholders competences

The needed innovative competences must be developed and extended throughout all stakeholders.

⁵ Reference to the Documentation Report Summary Section:

3.6/4a - Lær en ny måde at kommunikere med kunden. Tal behov – ikke ønsker

3.6/5a - Definer jobbet med et fælles sprog

5.10/1a - Hvad er en kompetence

5.10/2a - Kerne, og fokus kompetencer

5.10/4 - Identificerede kernekompetencer hos ADP – VRIO

5.10/5 - Valg af kernekompetencer

5.10/6 - Visualisering af kompetencer

5.10/7 - Gap analyse af ADP's kompetenceniveau - Kompetencer mapes til jobs

3.4.5 Gaps

The potential competences and capabilities gap must be controlled, by leveraging the HR organization.

Working with especially the R&D organization, gaps in competences and capabilities must be identified and addressed.

All roles must be covered by associates with the appropriate skill level.

Redundancy must be available to all roles. The redundant individual/competence can exist outside the focal organization, but must be available.

Competence level 1-3	Person a	Person b	Person c	Person d	Dep. A	Dep. B	Dep. D
Product A					X		
- Qualification 1	3	1					
- Qualification 2	1	3					
- Qualification 3		3					
Product B						X	
- Qualification 1							
- Qualification 2		1		3			
Service A						X	X
- Kvalifikation 1			2	3			
- Kvalifikation 2			2	2			

Figure 10, Gab analyses of ADP's qualifications

3.4.6 Innovation as a Core Competence

Innovation must be a valued Core Competence of ADP-DSI-Nordic.

Developing an innovative competence can be achieved by hiring associates with the needed skillset into the strategically positions, or by increasing the available human capital by providing dedicated education.

By leveraging the existing resources within the organization, and applying an

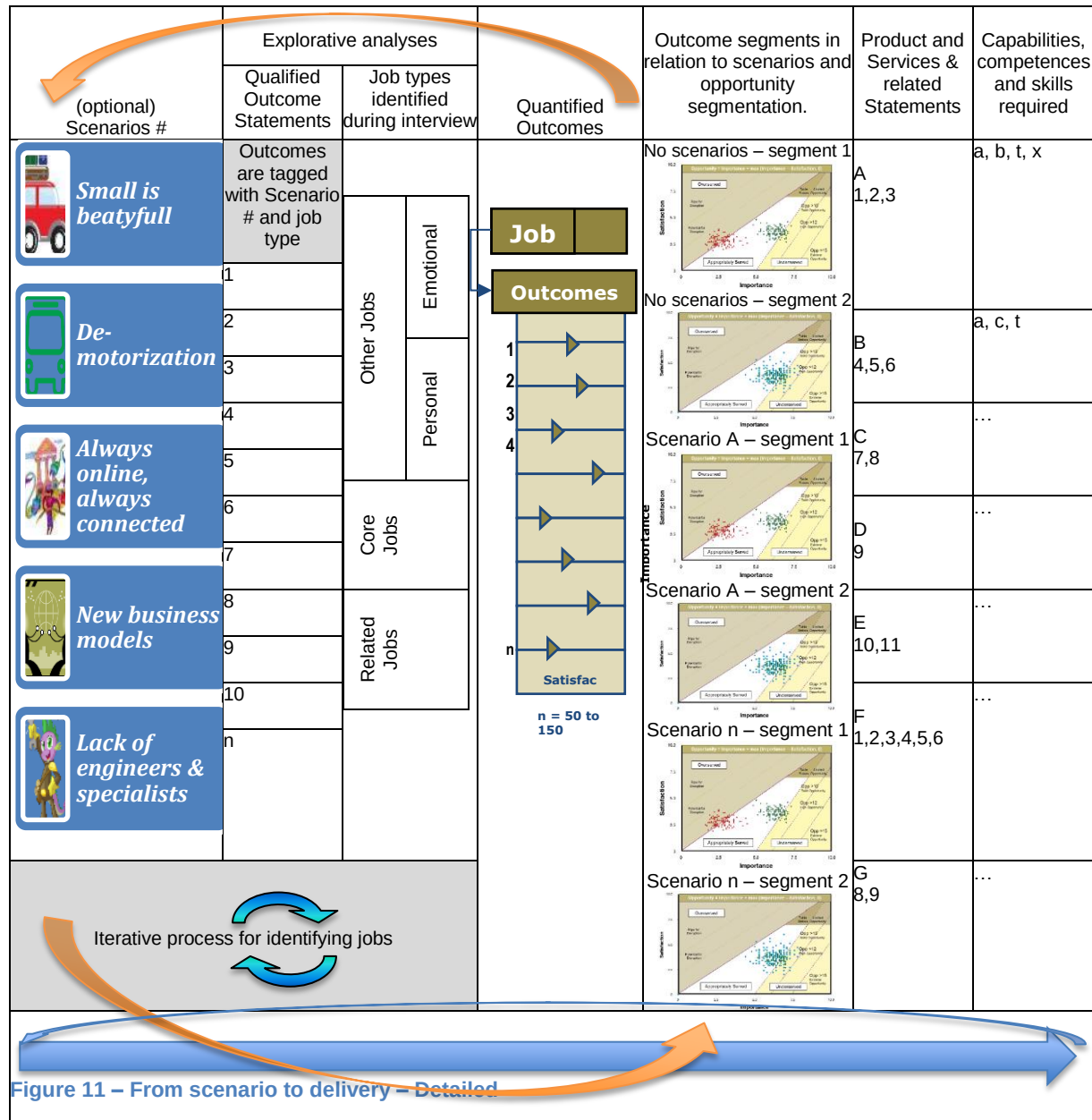
innovation skillset, a unique set of profiles will evolve, and provide ADP with Automotive-Innovators building the Core Competence needed by ADP Dealer Services to continue its unique marked position.

"We have seen many companies employ a simplified winnowing process that filters out those ideas that cannot be executed using the company's existing competencies. This approach is shortsighted, as this decision suggests the company is unwilling to master the new competencies needed to address any remaining opportunities for growth."
by Anthony Ulwick

3.5 Test and mature the program

To identifying that the innovation maturity level the organization has achieved during the steps 3.1 to 3.4 is appropriate; the program should be tested by build an internal test scenario addressing a real need, where the process is being executed internal before being utilized in a real-world scenario.

Figure 11 is demonstrating the process of the test scenario.



3.5.1 **Formulate the Strategy. Who – How – What – Where**

Define and formulate the purpose of the analysis:

- Ensures that we get what we want

Analysis expected outcome:

- Definition of questions, hypotheses, scenarios, etc.
- The financial value of the outcomes of the analysis.

Formulate a strategy for the analysis:

- Are we focusing the analysis as a starting point for new/existing jobs/products

How to prepare for the analysis:

- Define the jobs by utilizing a common innovations language
- Identify functional jobs

Building jobs map:

- Divide the focal job in process-related segments

3.5.2 **Capture Marked Input. Prepare – Build – Explore & Quantitate**

Capturing customers input:

- Learn a new way to communicate with the customer. Communicate needs - not desires.

Identify the individual Outcome statements:

- Through the explorative interviews we: identify, formulate and confirm - Outcomes

Building a scenario:

- A set of scenarios are built to provide a framework for the interview

Develop questionnaires:

- Develop questionnaires for the quantitative analyzes

3.5.3 **Identify Opportunities. Analyze & Identify**

Analyze:

- Responses are analyzed and opportunity landscapes are build

3.5.4 **Segment the marked. Discover hidden Markets**

Market segmentation:

- Select vs. deselect segments based on desired strategy

Principle of market segmentation:

- Financial considerations
- Identify unmet needs, even in mature market

Segmentation process:

- Data collection, select your Outcome statements with the most potential

- Identify segmentation criteria

Making group analysis based on the selected criteria's:

- Select a number of segments and build opportunity Maps

Execute profiling:

- Identify the demographic, geographic or scenario-based profiling, etc.

3.5.5 **Deliver to next step**

Delivering the identified opportunities to R&D for development.

4 Finance⁶

4.1 Implementation cost and timeline

To implement and maintain the Innovation Process, one FTE is needed as the key-stakeholder.

Additionally at least one weekly – one hour meeting with an average of 5 associates is expected.

The baseline cost of maintaining the program is \$200K/y

The expected implementation time within the whole Nordic organization is expected to be one calendar year.

4.2 Funding

Financially, implementing and maintaining the Innovation Process could be dealt with as an infrastructure investment similar to a CRM or ERP system, and could be treated the same.

4.3 Per project cost and timeline

Based on numbers from another ODI project and educated estimates, the expected timeline of a simple project is expected to be:

Kickoff and project development	4 weeks
Qualitative study	4 weeks
Quantitative study	3 weeks
Analyses and segmentation	3 weeks
Preparation for R&D	4 weeks
Total	18 weeks

There is expected an average of 5 associates fulltime involvement, resulting in an approximate cost of \$80k per project.

4.4 Project-specific financial considerations

In the project initiation phase, one important task is to consider the expected financial outcome of the process.

The cost of the process must not exceed the expected outcome.

If a required financial growth is being addressed by the focal process, this must be taken into considerations while planning and executing the process.

The Segmentation part is where the big wins are expected to be found.

⁶ Reference to the Documentation Report Summary Section:

3.6/2b - Den økonomiske værdi af analysen

4.6/2a - Økonomiske overvejelser

4.6/3a - Indsamling af data, udvælg Outcome statements med størst potentiale

5.10/3 - Kernekompetencen og ROA maksimerings døds spiralen

5.10/3a - Outsourcing vs. Insourcing

5 Reflection

Implementation of the Innovation Process based primarily on Outcome Driven Innovation will allow for ADP-DSI-Nordic to gain the role of Innovation Leader

The Innovation Process of ADP-Nordic must be uniformed to align with the Division and thereby corporate strategy.

At the same time, there must though, be implemented a local manifestation adjusting the ADP-Nordic strategic operationalization to Nordic and in-country marked, culture and local needs.

HR must take a more active role in maintaining and aligning associates skills with company needs in sense of Core Competences and Business & Technical skills.

Implementing the Innovation Process in the Nordic organization is challenging, and the Internal Sell is probably going to be the most delicate part of the implementation process.

Gaining financial endorsement in an organization where innovation doesn't even have its own place in the budget - could also pose an interesting challenge.

Looking at Outcome Driven Innovation: One of the most crucial tasks and at the same time, the least specific addressed issue is Segmentation. The described Innovation Process is trying to address the need – in the best possible manner.